

Compare and Contrast: Marijuana Legalization vs. Alcohol Prohibition

The article I examined, *Marijuana advocates hope to rise from 'prohibition,'* explores the parallels between the fight for the legalization of marijuana and the steps that had to be taken by lawmakers and everyday citizens alike to lift the thirteen-year prohibition on alcohol that lasted from 1920-1933. Throughout the article McLaughlin explores the propaganda and false accusations which marijuana to be made illegal in the first place, also giving his perspective on how its' legalization would not only provide greater tax revenue for the government but even create safer conditions for use of the drug by the millions of consumers who will inevitably get their hands on it regardless of lawmakers. As he goes on to argue in the excerpt, a large reason that prohibition of alcohol was unsustainable was due to the cultural perception surrounding its usage. This situation reflects the current sentiment many Americans have towards cannabis, as states continue to legalize the plant and the judicial and law enforcement systems in liberal-leaning large cities (such as Austin) have even taken it into their own hands to decriminalize small possession charges in favor of saving the jail space for big-time busts. Despite this recent marijuana movement, history tells us a different story. While cannabis usage which was deemed socially unacceptable for most of its past, Americans found no fault with a casual drink or night out at the saloon prior to prohibition (which is chronicled in hundreds of years of historical text on the topic). But, upon closer observation, we do see close resemblances in the campaign tactics used to attack the public image of both drugs. Not until around the second decade of the twentieth century did public perception begin to slowly change as lawmakers and politicians alike lobbied against alcohol consumption with the help of questionable propaganda

and scientific studies. One of the underlying themes used in the fight against both alcohol and

marijuana is the violence they induce when consumed. Nowadays, rhetoric such as this may seem reasonable discussing alcohol, but has proven completely and utterly absurd in relation to cannabis. On top of this, advocates of prohibition have even shown their willingness to go further, making racial connections to their outrageous drug and alcohol assertions in order to scare the public into siding with them. Examples of this racist propaganda linked alcohol with “red man” savagery, also claiming “liquor will make a brute of a Negro, causing him to commit unnatural crimes.”¹ Marijuana opponents used remarkably similar tactics, playing off xenophobic sentiment surrounding Mexican immigrants. These same lobbyists even went so far as to coin the term “marihuana,” feeling it created a negative connotation and connection to poor migrants from Mexico where the name cannabis had failed.² In addition, the downsides associated with the usage of both drugs were often greatly over-exaggerated, while any benefits that came along with them were virtually ignored. Early on in the 20th century cannabis use was rarely in the center of the debate about the war on drugs, but following the 1933 repeal of alcohol prohibition and the 1936 film “Reefer Madness” (that brought numerous false effects to the forefront of discussion) it became an easy target with little support from the public. As a consequence, lobbyists against marijuana and their fearmongering campaign

¹ McLaughlin, Elliott C. “Marijuana Advocates Hope to Rise from 'Prohibition'.” *CNN*, Cable News Network, 4 Dec. 2012, www.cnn.com/2012/12/01/us/marijuana-legalization-and-prohibition/index.html.

² McLaughlin, Elliott C. “Marijuana Advocates Hope to Rise from 'Prohibition'.” *CNN*, Cable News Network, 4 Dec. 2012, www.cnn.com/2012/12/01/us/marijuana-legalization-and-prohibition/index.html.

maneuvers finally achieved the outcome that they desired with Marihuana Tax Act of 1937, which effectively banned the use of cannabis in America at the federal level.

Prohibition in the United States refers to the period from 1920-1933 in which the federal government placed a nationwide constitutional ban on the production, importation, transportation, and sale of alcohol. Much of the discussion of whether the prohibition of drugs and alcohol was prudent was centered around the question of if it increases or decreases the likelihood of violent crimes. This was because of a sentiment held by a number of activists that saloon violence, and subsequently, crimes, in general, were correlated to the rampant alcohol abuse that had become commonplace. The first school of thought in the debate is straightforward: outlawing substances will reduce violent crimes due to the fact "that consumption of these goods encourages violence and that prohibition discourages such consumption."³ In contrast, one effect of prohibition is undoubtedly the black market that it creates, "and in black markets, participants use violence to resolve commercial disputes," opposed to attorneys or other civil means.⁴ While most prohibition activists cited the first argument as reasoning why alcohol should be outlawed, recently a surprising amount of evidence has surfaced against it and in favor of the more liberal second school of thought. In fact, when prohibition laws are already in place there is also support for the theory that the stricter the enforcement of them is by local authorities, the greater increase we see in homicide rates and other violent crimes. For example, data collected on South Carolina's experiment

³ Miron, Jeffrey A. "Http://Ljournal.ru/Wp-Content/Uploads/2016/08/d-2016-154.Pdf." Violence and U.S. Prohibition of Drugs and Alcohol, Feb. 1999. *National Bureau of Economic Research*, doi:10.18411/d-2016-154.

⁴ Miron, Jeffrey A. "Http://Ljournal.ru/Wp-Content/Uploads/2016/08/d-2016-154.Pdf." Violence and U.S. Prohibition of Drugs and Alcohol, Feb. 1999. *National Bureau of Economic Research*, doi:10.18411/d-2016-154.

with outlawing the private distribution and sale of alcohol in 1893 even shows “that homicide rates increased by about 50 percent after the legal change in counties that more vigorously enforce the law.”⁵ This statistic backs the notion that stricter enforcement does not result in a decrease in aggressive crime, as underground actors in the black market must settle any commercial dispute with force, not the judicial system. While the basic side effects of marijuana differ in that the user is placed in a more passive state opposed to a combative, the market effects of outlawing the drug do mirror those created by alcohol prohibition. Therefore, looking back at the pros and cons of the Prohibition Era can lend us insight into the consequences that may arise out of the modern-day argument over the legalization of cannabis.

Alcohol prohibition and the federal ban on cannabis have numerous connections both economically and socially that intertwine them, the most obvious of which would be the black market that is created. Regardless of how dangerous or risky the stakes are, there will always be someone waiting in the wings to provide a product given the price is right and enough people are demanding it. This is the way of the black market and the reason why alcohol and marijuana, even when their production and sale is prohibited at all levels of government, will continue to be available to the general public. For alcohol, the demand was met through “unregulated bootleggers and moonshiners, and consumed in back-alley speakeasies.”⁶ With marijuana, the needs of US consumers are most commonly supplied by Mexican drug cartels

⁵ Bodenhorn, Howard. “Blind Tigers and Red-Tape Cocktails: Liquor Control and Homicide in Late-Nineteenth-Century South Carolina.” *National Bureau of Economic Research*, June 2016. NBER, doi:10.3386/w22980.

⁶ McLaughlin, Elliott C. “Marijuana Advocates Hope to Rise from 'Prohibition'.” *CNN*, Cable News Network, 4 Dec. 2012, www.cnn.com/2012/12/01/us/marijuana-legalization-and-prohibition/index.html.

that produce large quantities of the drug, who then allocate a certain proportion of it to various smaller dealers who distribute it to the general public. Although the names of suppliers and the institutions who run these different sectors of the black market vary, the economics of their business remain the same. One effect, because distributors are subject to risks not found in the formal market is “a ‘tax’ on suppliers, thereby raising the costs of supplying drugs,” and as a result, leading to a higher price for the consumer as well.⁷ The price of purchasing illegally can sometimes be hefty, but as we see with the current system of legal cannabis distribution in the US, it may still be lower than the excise tax imposed by the state or federal government. In addition, purchasers also face minimal threats of punishment, if any at all, for simply a possession charge (given the amount possessed doesn’t exceed certain limits). Therefore, if the associated sin tax on the drug is placed too high by policymakers it will encourage consumers to revert to underground markets despite the existence of legal means of purchase, as the lower price and minimal risk aren’t enough to scare them away.

There are also a few immediate benefits to the argument for legalization, the first of which are the adverse effects that prohibition and the resulting black markets have on quality control.⁸ Without an entity such as the Food and Drug Administration (FDA) to regulate the quality of the product being sold to the public, no one truly knows what they are putting into their bodies. During the Prohibition Era, this ugly fact became prevalent as bootleggers and

⁷ Miron, Jeffrey A, and Jeffrey Zwiebel. “The Economic Case Against Drug Prohibition.” *Journal of Economic Perspectives*, vol. 9, no. 4, 1995, pp. 175–192., doi:10.1257/jep.9.4.175.

⁸ Nadelmann, E. “Drug Prohibition in the United States: Costs, Consequences, and Alternatives.” *Science*, vol. 245, no. 4921, Jan. 1989, pp. 939–947., doi:10.1126/science.2772647.

moonshiners personally distilled liquor for sale. Not only were the alcohol percentages of these homemade products often subject to fluctuation (little to the knowledge of the consumer), but there were also negative health consequences that sometimes even resulted in blindness or death. With cannabis, this lack of quality control is also an issue, as most buyers have no idea whether what they bought from their dealer hails from a dispensary in Colorado, or in actuality came from a farm in Mexico. Furthermore, consumers face the prospect of their product possibly being laced with a much harder drug, sprayed with dangerous fertilizers and/or pesticides, or in the case of a less informed consumer may be purchasing synthetic marijuana unknowingly. Therefore, marijuana legalization (similar to the issue with prohibition moonshiners) on the part of the United States federal government would allow unfortunate situations such as these to be avoided altogether, helping further protecting the health and well-being of citizens.

The second major immediate plus to the legalization and regulation of cannabis would be, as touched on earlier, the ability to tax its production and distribution.⁹ Apart from spurring the local economy through the creation of jobs the tax could also be used to fund public projects in completely unrelated areas (such as education for example), multiplying the positive benefits in the long-run. In this scenario, the federal government could simply slap on an excise tax, similar to the one which is placed on alcohol and tobacco. Using this system the federal government would be able to reap a financial reward from the transactions that occur between

⁹ Krishna, Mrinalini. "The Economic Benefits of Legalizing Weed." *Investopedia*, Investopedia, 7 June 2017, www.investopedia.com/articles/insights/110916/economic-benefits-legalizing-weed.asp.

buyers and sellers, whereas before they would stand to gain no profits from an under the table exchanges facilitated by drug dealers. The state of Washington's Office of Financial Management even estimate that this sin tax, when coupled with a "fully functioning" marijuana industry, may be capable of bringing in "nearly \$2 billion in revenue over the next 5 years" for the state¹⁰ While profit projections vary from state-to-state, a majority evidence suggests that the economic and social pros of legalization and regulation of marijuana far outweigh the cons of strengthening restriction on the good.

In summary, although more studies have surfaced on the topic of the economic and social consequences of drug and alcohol prohibition policy, there is still work to be done. A majority of this progress we need in order to gain a clearer understanding of what is to be gained from marijuana legalization is on the economic side, as most scholarly work centers around the correlation of homicide rates and violent crimes (social effects) to prohibition. While states like California and Colorado have posted noteworthy numbers in terms of increased tax revenues and the creation of new jobs in the short-run, we simply lack the foresight to see how things will play out farther down the road, especially if legalization were to occur on a federal level. Despite this there are certain truths we can hold as reliable as long as black market activities for cannabis exist, which are: 1.) that there is a deadweight loss suffered by the government in revenues that will persist until the decision to tax and regulate the drug is made, 2.) quality control will remain suspect as there is no institution checking the health and safety standards, and 3.) violence will continue to exist as the only means to resolve

¹⁰ McLaughlin, Elliott C. "Marijuana Advocates Hope to Rise from 'Prohibition'." *CNN*, Cable News Network, 4 Dec. 2012, www.cnn.com/2012/12/01/us/marijuana-legalization-and-prohibition/index.html.

commercial disputes. There have been many similarities to the repeal of alcohol prohibition in the path taken by cannabis, but in the end, only time will tell whether it will be ever be accepted socially to the same extent as alcohol in the United States. Additionally, as more and more states continuing to pass laws against federal wishes to legalize marijuana, there has never been a greater reason for optimism among supporters of the drug. In conclusion, if the cultural movement for legalization that has burst onto the scene in recent years continues to gain momentum, federal policymakers will have no choice but to give in to public demand (just as what happened nearly a century ago with alcohol).

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